
Engineer's Commercial Assessment — Commercial Notice CTR-NRB4-0091

Nandira River Bridge Project — Package NRB-4

Document Reference:	ENG-NRB4-0038
Date:	04-Mar-2022
Contract No.:	NHIA/NRB4/CW/2020-01
From:	Engineer, Meridian Engineering Consultants
To:	Contractor, Sagara Constructions Pvt. Ltd.
CC:	National Highways Infrastructure Authority

Subject: Assessment — Commercial Notice CTR-NRB4-0091 — Retention on Variation VO-NRB4-004

We refer to Commercial Notice CTR-NRB4-0091 dated 10-Feb-2022, the Financial Calculation Sheet FCS-NRB4-011, the Payment Register Extract PRE-NRB4-011, and our Contract Interpretation Memorandum CIM-NRB4-002, all dated February 2022.

1. **RETENTION:** We do not accept that Variation VO-NRB4-004 should be excluded from the Retention base applied under Interim Payment Certificate IPC-NRB4-011. Sub-Clause 13.3 provides that the value of a Variation is included in the amount certified as due under Sub-Clause 14.3, without distinction as to the origin of that value. Contract Data Section 6 applies Retention to "each amount otherwise due" without qualification, and no provision of the General Conditions, Particular Conditions, or Contract Data exempts Variations from Retention. The characterisation of Variation VO-NRB4-004 as reimbursement rather than value of work executed does not alter its treatment once certified. We confirm the Retention of VTD 1,322,725 applied under IPC-NRB4-011, calculated on the full cumulative value of VTD 26,454,500 including the Variation, is correct.
2. **INTEREST:** As no amount was wrongly retained, no amount is "due and unpaid" within the meaning of Contract Data Section 8, and no basis exists for interest to accrue on the VTD 29,535 identified in CTR-NRB4-0091 or on any other sum in respect of IPC-NRB4-011. We note separately, and without needing to determine it, that payment under IPC-NRB4-011 was in any event made within the 56-day period confirmed by Bank Transfer Confirmation BTC-NRB4-011, so no late payment has occurred in respect of this Certificate on any view.
3. **DETERMINATION:** Commercial Notice CTR-NRB4-0091 is rejected in full. The Retention applied under IPC-NRB4-011 remains as certified, and no repayment or interest is due. This determination applies equally to the treatment of any future Variation certified under the Contract, absent a contrary instruction agreed by both Parties.

Signed: Engineer's Representative
Meridian Engineering Consultants